Theory case · Topic 2 · 2 points · 15 min

C14 — Nordic MRO Group: corporate strategy, business strategy and levels of decision

At its annual meeting, the Nordic MRO Group took these decisions: (1) to open a maintenance base in Morocco to serve African airlines; (2) to buy the company that overhauls the landing gear it used to outsource; (3) to compete in its engine-overhaul business by guaranteeing the shortest turnaround time in Europe, even at higher prices; (4) to schedule a second shift in the paint hangar during the summer; (5) to change the supplier of cleaning products next month.

Part (a) · 1.25 points

Classify decisions 1–3 as corporate or business strategy, naming the dimension of scope or the source of advantage involved

Decision	Type [Slides 9, 18]	Detail
1. Base in Morocco	**Corporate strategy**	**Geographical scope** (internationalization), part of the question "which businesses should we be in?"
2. Buying the landing-gear overhauler	**Corporate strategy**	**Vertical scope** (backward vertical integration)
3. Shortest turnaround at higher prices	**Business (competitive) strategy**	**Differentiation**: a valued, unique feature that earns a price premium [Slides 20, 23]

Corporate strategy answers "which businesses should we be in?" and business strategy "how should we compete?" [Slide 17].

KEY POINTS

- 1: corporate strategy, geographical scope.
- 2: corporate strategy, vertical scope (backward integration).
- 3: business strategy, differentiation advantage (turnaround time, price premium).

Part (b) · 0.75 points

Place decisions 4 and 5 in the levels of decision, and state what makes a strategy successful

Decisions 1–3 are **strategic**: long-term, affecting the whole firm. Decision 4 (a summer shift in one hangar) is **tactic**: it concerns one area over a season and implements the strategy. Decision 5 (a cleaning supplier next month) is **operative**: routine and short term. The deck names the three levels [Slide 8]; this characterisation of each one is the usual reading (extension).

A strategy succeeds through **effective implementation** resting on **long-term, simple and agreed objectives**, a **deep understanding of the competitive environment** and an **objective appraisal of resources** [Slide 10]. Nordic's differentiation on turnaround time, for instance, only works if it has the hangar capacity and staff (resources) to deliver it.

KEY POINTS

- 4: tactic decision (one area; it implements the strategy).
- 5: operative decision (routine).
- The deck only names the three levels; their characterisation is the usual reading (extension).
- Success: long-term, simple and agreed objectives; deep understanding of the competitive environment; objective appraisal of resources; effective implementation.